US-Iran escalation is no longer basecase

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summary

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Escalation of the US-Iran conflict by year-end is no longer the most likely outcome, with the US now likely to focus on maintaining the blockade and sanctions.
*
The Nvidia scandal raises the odds of stronger US export controls on semiconductors.
*
President Donald Trump will still advance the Donroe Doctrine despite midterm losses.
*
Midterm results will make the Democratic party more ideologically diverse.
*
Countries and sectors in this edition of the Daily Brief include the US, Iran, Indonesia, Latin America, geo-technology, and oil.

the top line

US, Iran—The political window for escalation has closed

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Escalation in the US-Iran conflict by the end of 2026 is no longer the most likely outcome (30% odds, down from 60%), and the US is likely to focus on maintaining the status quo of blockades and sanctions (60%, up from 30%), while a limited deal between the US and Iran to reopen the strait remains unlikely (10%, unchanged).
*
Three factors led to our change in views: the appointment of Stephen Miller—who has historically been more isolationist—as White House chief of staff, the decision not to strike late last week at the moment of greatest opportunity, and President Donald Trump’s comments downplaying escalation on 8 November ahead of a meeting with the Qatari prime minister.
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While the US has succeeded in increasing Middle East oil exports, ongoing Iranian attacks will reduce overall tanker capacity in 2027 and limit the US's ability to sustain the current status quo.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

US, Geo-technology—Nvidia scandal increases odds of stronger export controls

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The Megaspeed scandal will weaken Nvidia's lobbying against new export controls and make it harder for negotiators to strip chip bills from the NDAA.

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Trump will try to shield Nvidia, and the White House will still decide how aggressively to enforce any new chip laws.

*

Democrats will make the case a centerpiece of their China corruption probes, but it is unlikely to derail the US-China truce.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Latin America—Trump will advance Donroe Doctrine despite midterm losses

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Trump's resounding defeat in last week's midterms is unlikely to dramatically affect his Latin America agenda, which depends largely on executive action, though his regional policies, particularly Venezuela oil ties, will face more scrutiny in a Democratic-controlled Congress.

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That said, any resulting cabinet changes could shape regional policy, with Secretary of State Marco Rubio likely to push for an electoral timeline in Venezuela and change in Cuba before potentially leaving his post, and Treasury Secretary Scott Bessent's tenure critical for extraordinary Argentina support.

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Ties with Brazil are unlikely to deteriorate dramatically, and conservative leaders in the region will likely continue to lean into the US relationship, but Trump's lame-duck status will ensure continued economic engagement with other foreign partners, including China.

*

Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

United States—Red-state victories will create a more diverse Democratic Party

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Democrats' midterm victories in Sun Belt and Plains states where they had not won in a generation or where candidates dramatically outperformed polling will make the party more diverse ideologically, geographically, and demographically.

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This diversity will make the party less dependent on its base of Black and college-educated white voters and force it to focus on pocketbook issues over the next two years while incorporating a broad array of stances on hot-button issues like AI.

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The stocks of moderates in the party, especially Senator Jon Ossoff (D-GA), have risen the most, but progressives will also see the results—especially in Michigan and Florida—as vindication of their view that they can win in swing states, setting up a crowded presidential primary for 2028.
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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Oil—Brent unlikely to slip below $90 without US-Iran progress

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A negotiated settlement that would reopen the Strait of Hormuz remains unlikely, even as the risk of imminent escalation has receded.
*
Rising Middle East flows and increased Western Hemisphere exports have pushed the crude market into a slight surplus.
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However, the risk of Iranian attacks on shipping remains high, while rising Chinese imports are adding pressure on demand, suggesting that oil prices will remain elevated.
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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Chart of the Day—Asian export surge not supporting regional currencies

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Taiwanese exports rose 75% and Korean exports 94% year over year in October. The economic impact of AI investment demand on north Asia's key chip-producing markets is remarkable.
*
The financial impact on exchange rates remains muted. Neither the Taiwanese dollar nor Korean won have benefited significantly, despite historically having a close relationship with export growth rates.
*
We suspect the financing approach behind the AI boom may be playing a role. Greater use of circular financing arrangements as we highlighted (see note , 28 July) may be behind this unusual divergence.
*
Reach out to discuss geoeconomics@eurasiagroup.net .

upcoming conference calls

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10 November 8:00 PM ET—US-Iran talks and the outlook for escalation. Register here .
*
11 November 10:00 AM ET—Cameroon: Navigating political and economic crossroads. Register here .
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12 November 10:00 AM ET—Mexico update. Register here .

eg in brief

Indonesia—Vice president’s exit will widen Prabowo-Jokowi rift: Vice President Gibran Rakabuming Raka, son of former president Joko Widodo (Jokowi), has offered to resign after parliamentary opponents began a process likely to end in his impeachment over doubts about his educational qualifications. His exit will deepen the split between President Prabowo Subianto and Jokowi, but it is unlikely to threaten Prabowo’s ability to govern: his coalition holds around 80% of parliamentary seats, and the vacant vice presidency could be used to bring the non-aligned PDI-P into government. The effect on economic policy will likely be limited, though prolonged infighting and further cabinet reshuffles could distract from reform priorities. The main risk is a broader confrontation with Jokowi’s remaining allies in other political and security institutions. Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

Upcoming events:

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10 November: Events: House Republicans hold leadership election and US-mediated talks between Russia and Ukraine are due to take place; Data: US CPI.
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11 November: Events: US markets close for Veterans’ Day.
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12 November: Data: Argentina, Brazil, and India CPI, Japan PPI, UK GDP, and US federal budget balance; Central bank decisions: Peru, Romania, Serbia, and Uganda.
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13 November: Data: Eurozone GDP, France, Poland, Russia, and Spain CPI, and US PPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

"We're just keeping it the status quo, and we're doing that really at the behest of countries that are their neighbours."—Trump said on Monday regarding the US-Iran conflict during a press briefing.

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